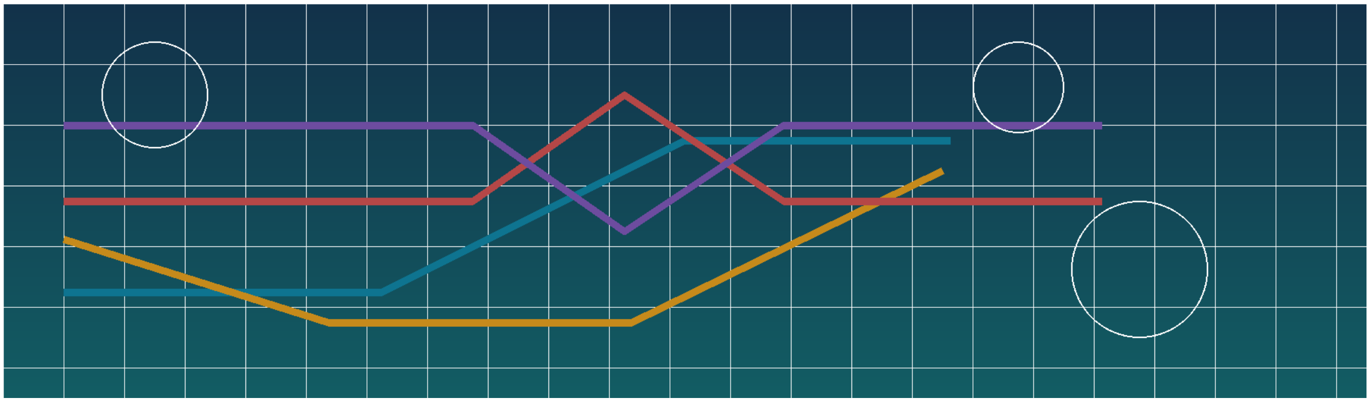

Stock Options Trading Framework

A practical playbook for beginner to intermediate traders

Mechanics -> strategy families -> Greeks and volatility -> execution -> risk management

Important: Educational use only. Listed options are complex and can lose 100% of premium for buyers; sellers can face losses that are much larger. Before trading exchange-listed options, read the OCC options disclosure document [R1].

Designed as a framework, not a recommendation list.

How to Use This Playbook

Read the guide in order the first time. After that, use the strategy map and the tables as a quick reference.

- Part I builds the foundation: what options are, how premium works, and what rights versus obligations really mean.
- Part II organizes the strategy universe by problem to solve: bullish, bearish, neutral, large-move, stock-overlay, and synthetic exposures.
- Part III introduces the professional lens: Greeks, implied volatility, settlement, liquidity, and process discipline.
- Each major section uses four layers: TLDR, Beginner, Intermediate, and Expert.
- Most payoff charts assume expiration. Real-world P/L before expiration also depends on implied volatility, time decay, rates, dividends, and assignment mechanics.

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Reference tags such as [R1] point to the Selected primary references section. They are meant to show where a concept can be verified, not to turn the guide into a textbook.

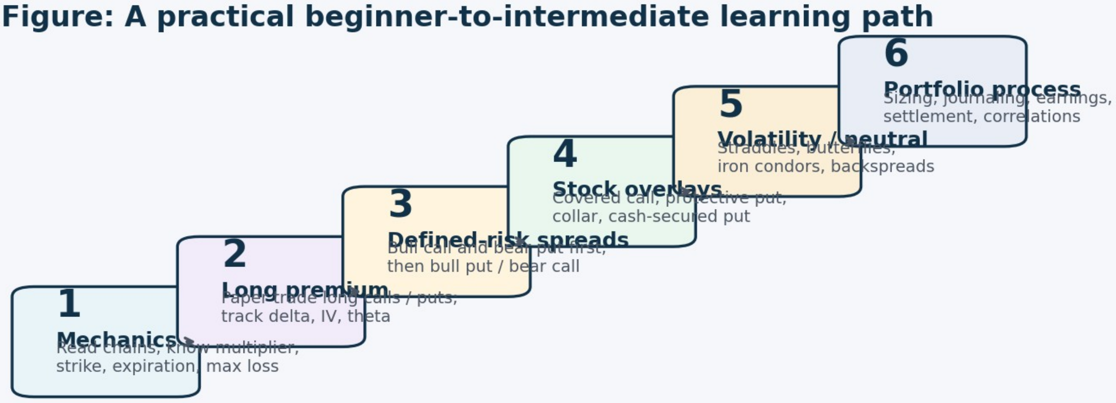
Executive TLDR

The shortest useful version of the whole framework.

TLDR	Options are not just bullish or bearish bets. They are contracts whose value changes with direction, time, volatility, and settlement rules.
Beginner	If you buy an option, your risk is generally capped at the premium paid. If you sell one, you collect premium but take on an obligation.
Intermediate	Strategy choice should follow the problem you are solving: directional move, range-bound market, big volatility expansion, stock hedge, or stock entry.
Expert	The strongest habit is classification before execution: know your directional bias, move size, volatility view, carry, exit, and operational risks before placing the trade.

- Start with defined-risk structures. Learn long calls, long puts, and debit spreads before you touch naked premium selling.
- Ask six questions before every trade: direction, size of move, time horizon, implied volatility, max loss, and exit plan.
- A correct stock call can still lose money if time decay or volatility contraction overwhelms it.
- Long premium usually needs movement. Short premium usually needs the underlying to stay inside a range. Both can fail fast when mis-sized.
- Use liquid underlyings and limit orders. Wide bid/ask spreads are hidden costs.
- Do not hold short equity options into expiration unless you understand assignment and stock settlement.
- Income strategies are not low risk just because they win often. Short convexity means many small gains and occasional large losses.
- A beginner progression that works in practice: long options -> defined-risk spreads -> stock overlays -> defined-risk premium strategies -> advanced volatility trades.
- Journal the thesis, the IV context, the chosen expiration, and what would invalidate the trade - not just P/L.

Figure: A practical beginner-to-intermediate learning path



Rule of thumb: progress only when you can explain not just the payoff shape, but also the IV, theta, and assignment implications.

Part I - Foundations

Mechanics first. Most strategy confusion is really foundation confusion.

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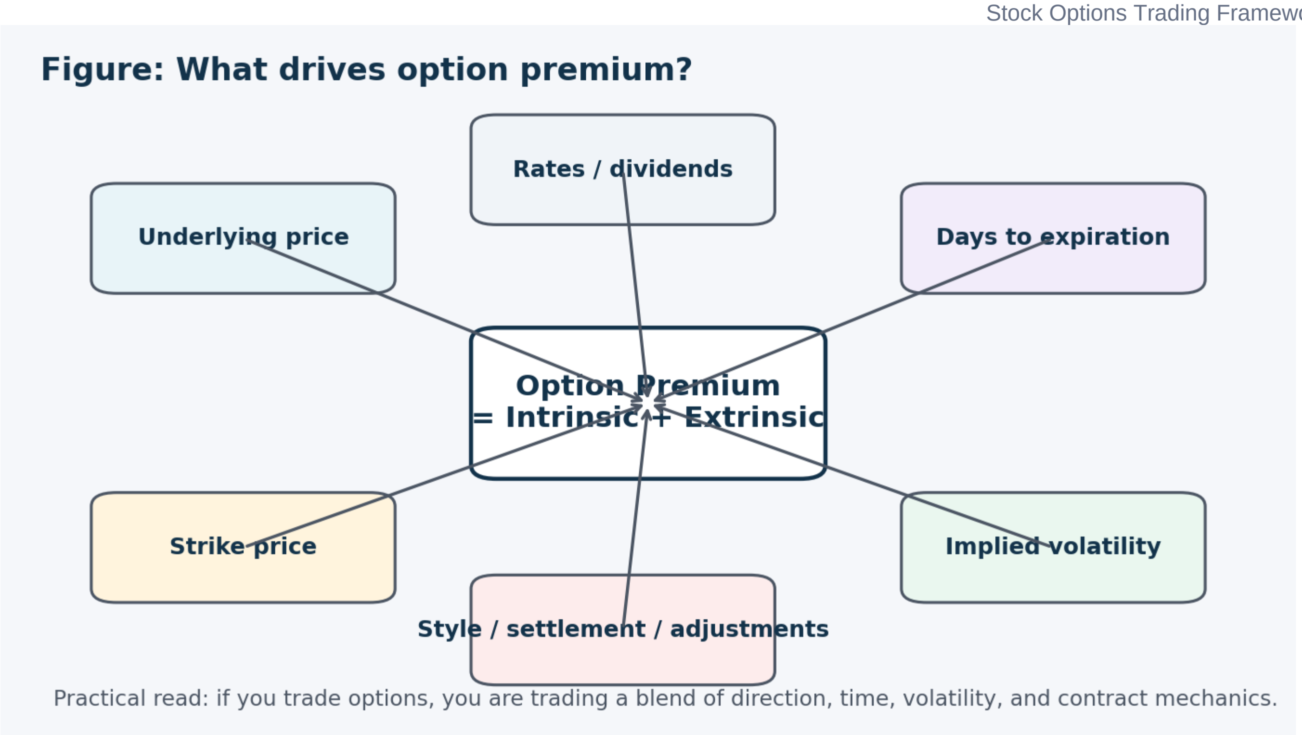
1. How to Think About Options

TLDR	An option is best understood as a bundle of exposures, not as a single opinion about price.
Beginner	A long call is rented upside. A long put is rented downside. Both are time-sensitive and can expire worthless.
Intermediate	Before choosing a structure, classify the trade by direction, magnitude, time horizon, and volatility. That is what turns a strategy list into a framework.
Expert	Professionals think in distributions and convexity: what move is already priced, what carry am I paying or collecting, and how does my P/L behave if the market gaps or volatility regime changes?

At the simplest level, options let traders separate price direction from ownership. But that is only the first layer. Once you trade live markets, you realize an option also embeds time value, implied volatility, settlement rules, and operational risk.

A useful mental model is the five-lens framework below. If you can classify a trade on these five dimensions, you can usually choose a better structure and avoid most beginner mistakes.

Concept	Why it matters
Direction	Do you need the underlying to rise, fall, or simply move away from the current price?
Magnitude	Are you looking for a modest move, a large move, or very little movement?
Time	How long can your thesis take before time decay becomes expensive?
Volatility	Is implied volatility cheap or rich relative to the move you expect?
Structure	What happens if you are assigned, exercised, or carried into expiration?



Premium is partly immediate value and partly time/volatility value. That is why "right direction" is not always enough.

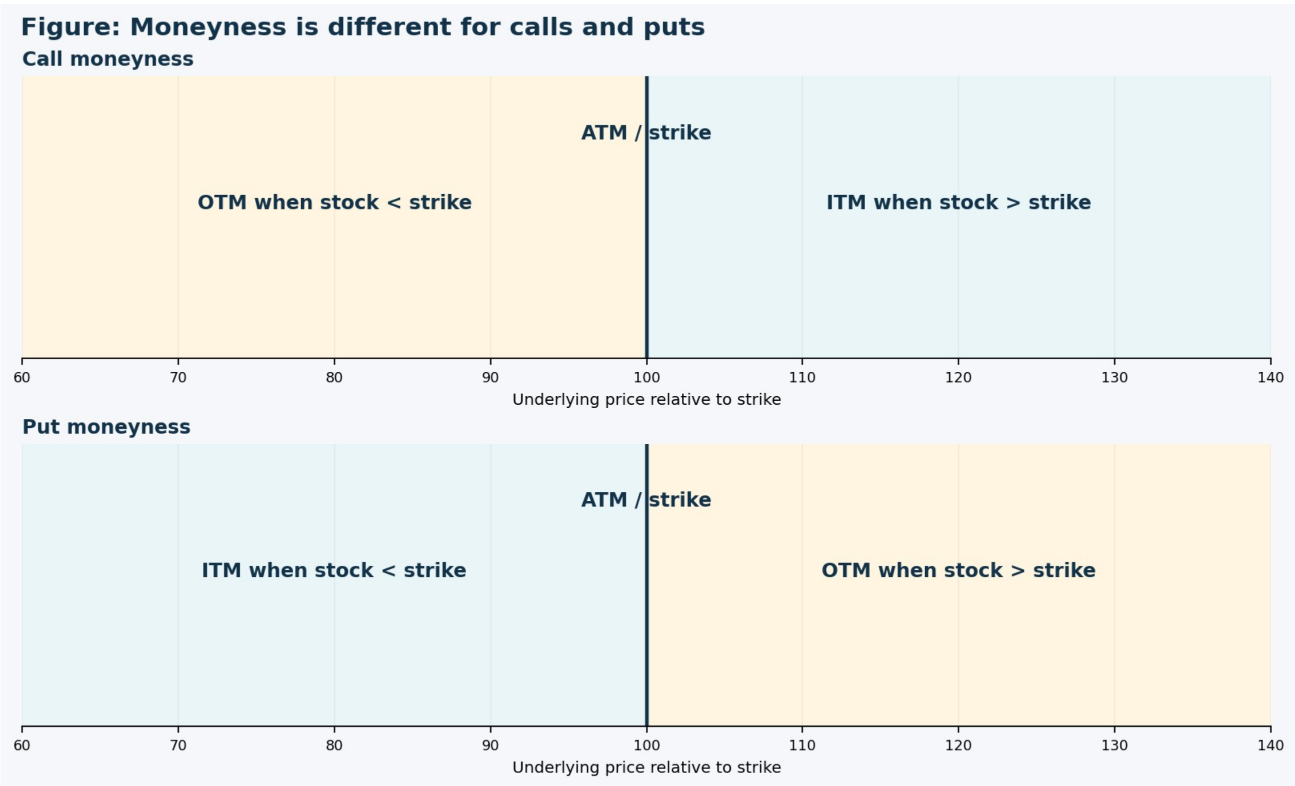
Common beginner error: Picking a strategy from a chartbook before deciding whether the edge is in direction, volatility, or carry. Strategy should come after classification, not before it.

2. Core Mechanics and Terminology

TLDR	If you cannot read the contract terms quickly, you are not ready to size real risk.
Beginner	Learn the meaning of underlying, multiplier, strike, expiration, premium, and moneyness before learning any advanced spread.
Intermediate	Add the operational terms next: American versus European exercise, physical versus cash settlement, exercise versus assignment, and adjusted contracts.
Expert	The expert edge is often operational: knowing when settlement style, dividends, or corporate actions can matter more than the pretty payoff shape.

Term	Plain-English meaning
Underlying	The stock, ETF, index, or futures contract the option references. Liquidity, event risk, and settlement style start here.
Multiplier	Standard listed equity options usually control 100 shares, so a quoted premium of 2.35 generally means $235 before costs.
Strike price	The contract price at which shares or cash value are

	exchanged if exercised.
Expiration	The last day or maturity for the option. This controls theta, gamma intensity, and settlement timing.
Premium	The price paid by the buyer and received by the seller. For a long option, it is generally the maximum loss.
Intrinsic value	Immediate exercise value: max(S-K,0) for a call and max(K-S,0) for a put.
Extrinsic value	Everything in the option premium above intrinsic value: mostly time, implied volatility, rates, and dividends.
Open interest	The number of open contracts. Useful context, but not the same thing as instant tradable liquidity [R11].
Bid/ask spread	A direct execution cost. The wider the spread, the more you pay to enter and exit.
Exercise / assignment	The long holder chooses whether to exercise; the short seller receives assignment and must fulfill the obligation [R8].
Adjusted contract	A contract whose deliverable, multiplier, or strike has changed because of a corporate action [R15].



Calls and puts flip the meaning of in-the-money and out-of-the-money.

Exercise style is about timing, not geography. American-style options may be exercised before expiration; European-style options may only be exercised at expiration [R1]. Settlement style is separate from exercise style. Single-stock and ETF options generally settle into shares, while many index options settle in cash [R10].

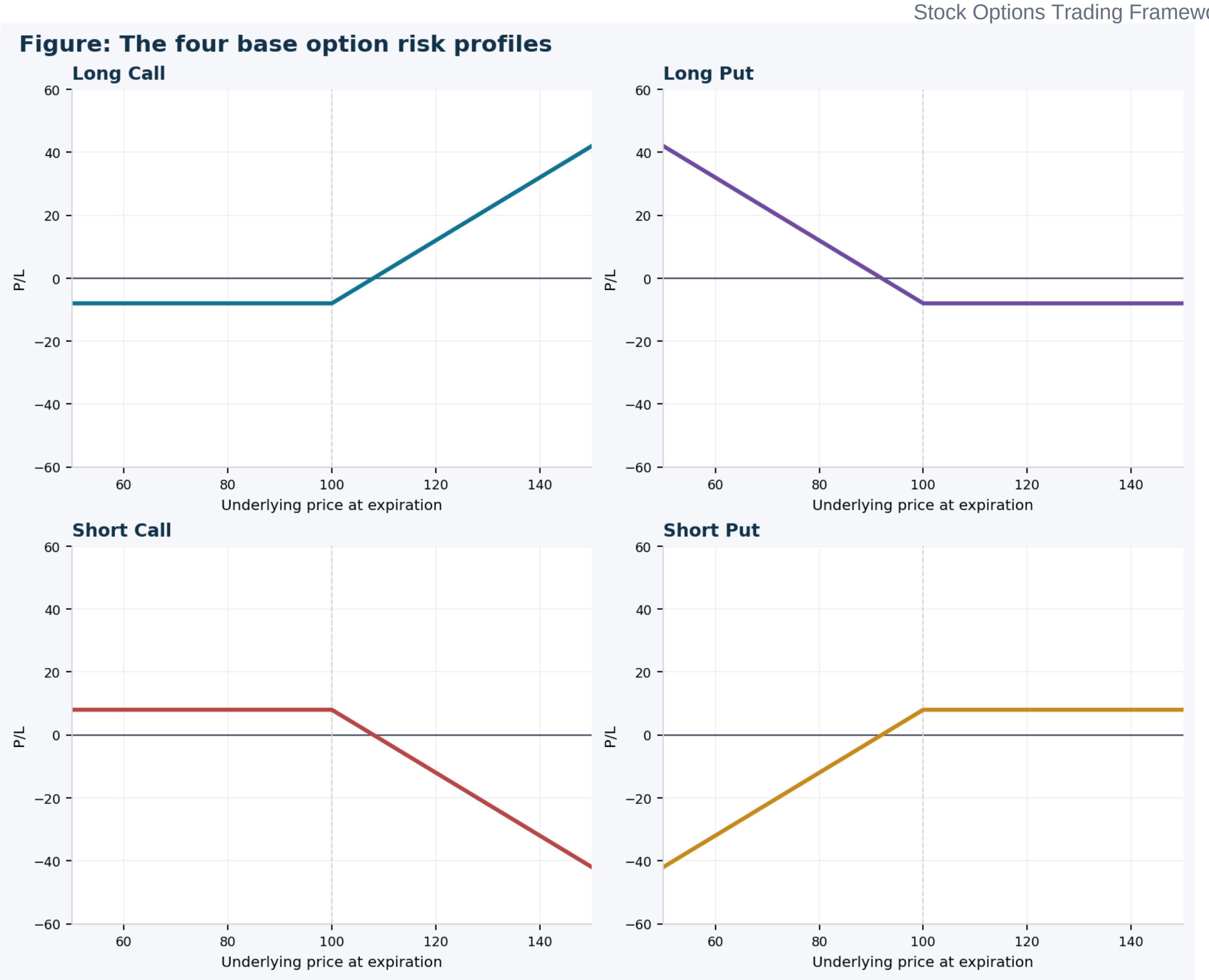
Broker approval rules also matter. Firms often use multiple options approval levels, commonly five, and the allowed strategies can vary by firm [R3][R4][R5]. Treat approval as a minimum gate, not proof that a trade is appropriate for your process.

Operational note: At expiration, firm policies and OCC procedures matter. If you do not understand auto-exercise thresholds, do not casually hold positions into expiration [R8].

3. The Four Base Risk Profiles

TLDR	Everything else in options is built from these four starting profiles.
Beginner	Long call and long put have defined risk. Short call and short put collect premium but create obligations.
Intermediate	Once you understand the sign of the payoff, the next step is to understand the Greek tendency: long options are typically long gamma and long vega but short theta; short options flip that profile.
Expert	The real expert distinction is convexity: long options usually lose by “bleed” and can win by expansion, while short options often earn steady carry and lose by acceleration.

Position	Typical view	Max loss	Max gain	Greek tendency
Long call	Bullish	Premium paid	Unlimited	Long delta, long gamma, short theta, long vega
Long put	Bearish	Premium paid	Substantial to the downside	Short delta, long gamma, short theta, long vega
Short call	Bearish to neutral	Theoretically unlimited	Premium received	Short delta, short gamma, long theta, short vega
Short put	Bullish to neutral	Substantial if the underlying collapses	Premium received	Long delta, short gamma, long theta, short vega



Most multi-leg trades are just combinations of these four exposures.

Training implication: a beginner should master long-call, long-put, and defined-risk spread behavior before trading naked short calls or short straddles.

Part II - Strategy Families

Think in problem categories, not strategy names.

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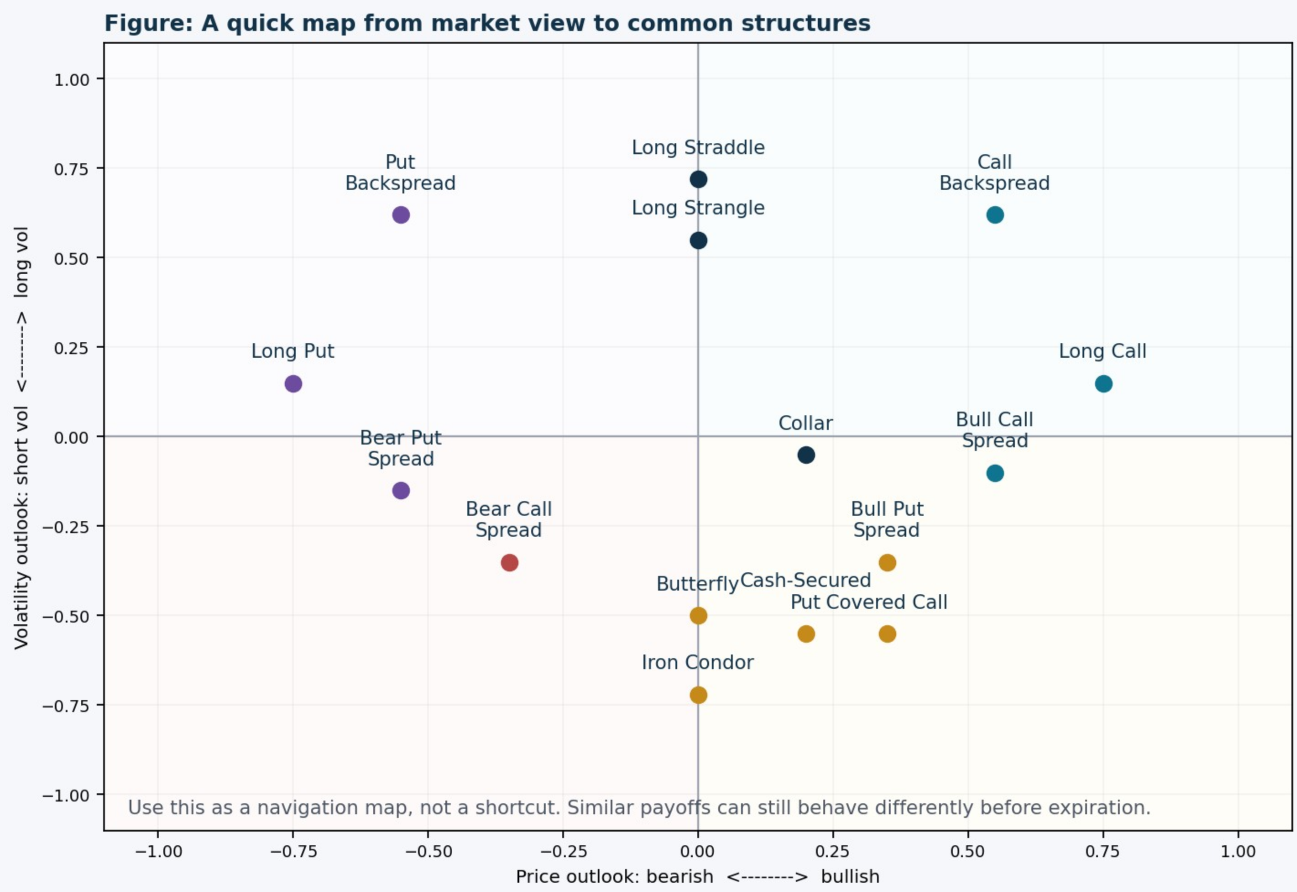
4. Choosing Structure from Market View

TLDR	Start with the market problem: bullish, bearish, neutral, or large-move. Then add the volatility and risk lens.
Beginner	Do not ask “which strategy is best?” Ask “what problem am I solving, and do I want defined risk?”
Intermediate	A directional view and a volatility view can disagree. For example, you can be bullish but still avoid long calls if implied volatility is already extremely rich.
Expert	The expert version is edge versus what is already priced: do I expect more, less, or different movement than the options market currently implies?

Market problem	Common first structures
Bullish, want leverage	Long call or bull call spread
Bullish, willing to own shares	Cash-secured put, protective put, or collar
Bearish, want defined risk	Long put or bear put spread
Mildly bearish, prefer premium collection	Bear call spread
Mildly bullish, prefer premium collection	Bull put spread
Neutral / range-bound	Butterfly or iron condor
Large move, direction uncertain	Long straddle or long strangle
Already own stock and want income	Covered call

View	If IV is low or normal	If IV is already elevated
Bullish	Long call / bull call spread	Bull put spread or cash-secured put if assignment is acceptable
Bearish	Long put / bear put spread	Bear call spread or selective long put if conviction is strong
Neutral / range-bound	Butterfly or calendar-type ideas	Iron condor / iron butterfly / covered call if long stock
Large move expected	Long straddle / long strangle / backspread	Be selective: expensive IV means the move must beat the move already priced in



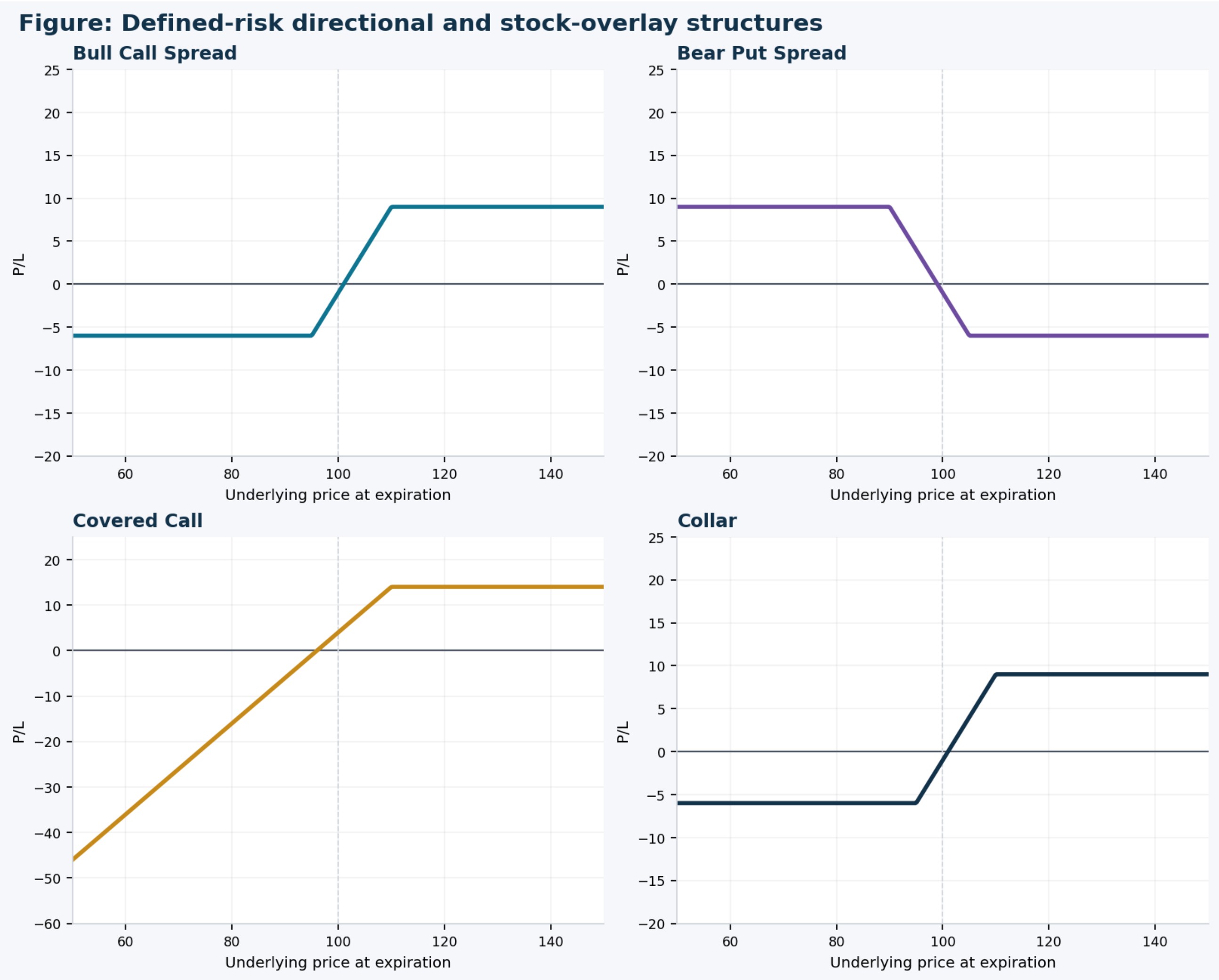
A visual map is useful, but it is still only a map. Similar expiration payoffs can behave very differently before expiration.

5. Stock-Overlay and Directional Structures

TLDR	These are the first strategy families most traders should learn.
Beginner	Long options and debit spreads teach directional logic with defined risk. Covered calls, collars, and protective puts teach how stock and options interact.
Intermediate	Cash-secured puts and covered calls are close cousins in payoff logic, but their capital use and assignment path differ.
Expert	At the expert level, the choice is rarely “what has the biggest payoff?” It is “which structure expresses my view with the cleanest risk, carry, and operational profile?”

Structure	TLDR	Best use case	Main risk	First management rule
Long call	Rent upside with defined risk.	Bullish and want leverage without share ownership.	Time decay and IV contraction can overwhelm a modest rally.	Pay for enough time; avoid buying the cheapest lottery ticket.
Protective put	Own stock plus insurance.	You want upside participation with a	The hedge can be expensive if IV is high.	Buy time that matches the thesis, not merely

		known floor.		the lowest premium.
Covered call	Own stock, sell upside.	Neutral to slightly bullish and willing to sell shares.	Most of the downside still comes from stock ownership.	Only sell strikes where you are comfortable exiting the shares.
Cash-secured put	Get paid to potentially buy stock lower.	Bullish / neutral and willing to own the shares if assigned.	The downside is still large if the stock collapses.	Secure the cash and plan assignment before entry.
Collar	Own stock with a floor and a cap.	You want a tighter risk band and can give up some upside.	Upside is capped and hedge cost can reduce returns.	Set the call strike where you would be content to exit.



Directional and stock-overlay structures compress risk in very different ways. The stock component matters.

Spread	TLDR	Best use case	Main risk	First management rule
Bull call spread	Cheaper bullish expression with capped upside.	You expect a modest to medium upside move.	If the strike width is too narrow, you cap yourself too early.	Define a realistic target before selecting strikes.
Bear put spread	Capped-cost bearish expression.	You expect a moderate downside move.	IV changes and insufficient downside can blunt returns.	Use liquid strikes and avoid buying too much decay.

Bull put spread	Defined-risk premium sale.	You think price stays above support.	Losses can appear quickly on a downside break.	Size small because gains are limited and losses can cluster.
Bear call spread	Defined-risk bearish premium sale.	You think price stays below resistance.	Short calls can become uncomfortable when the underlying squeezes.	Keep the short strike outside the move you think is fairly priced.

Training implication: bull call and bear put spreads are often the cleanest bridge from single-leg options into structured risk.

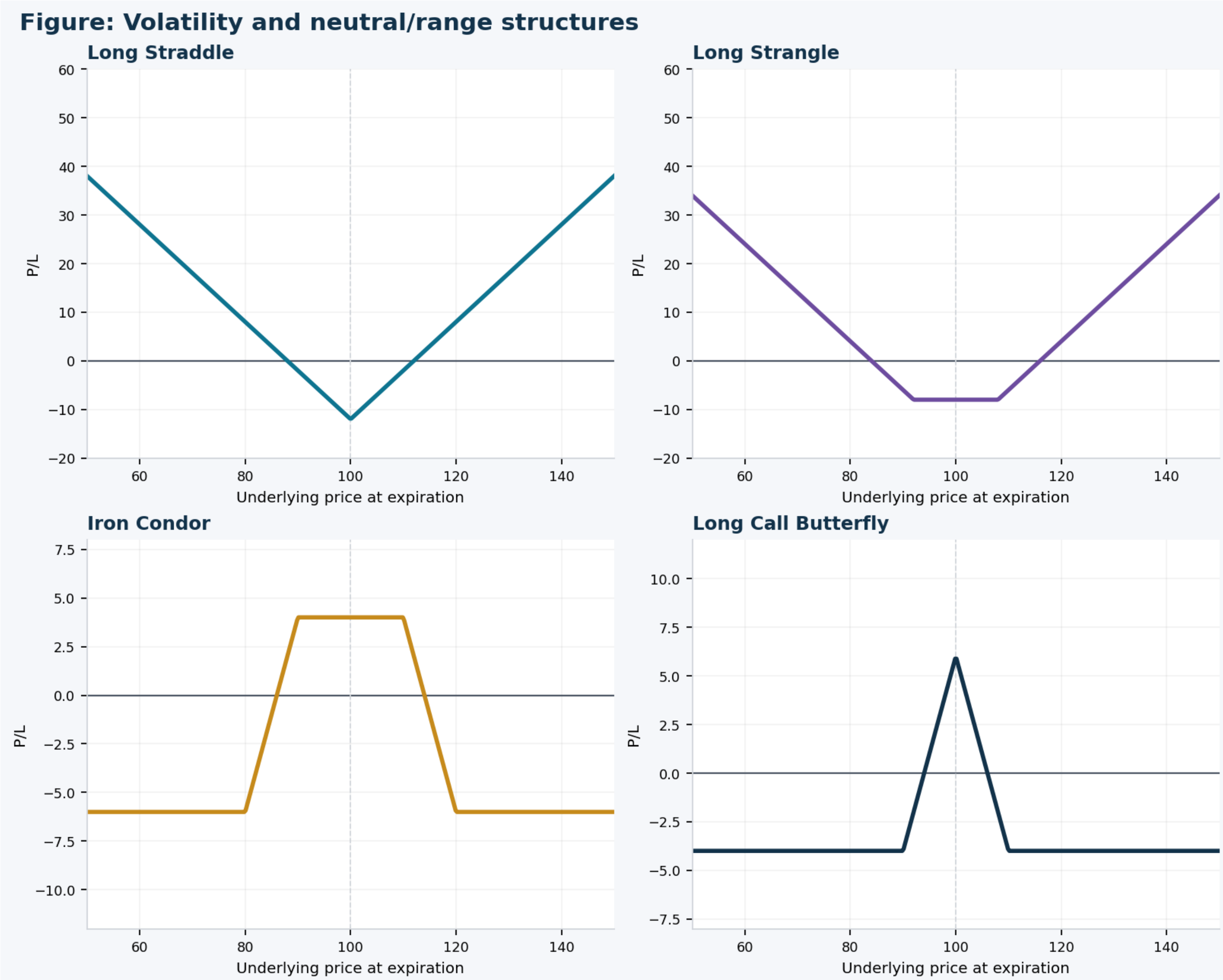
6. Volatility and Neutral / Range Structures

TLDR	These structures care as much about movement size and volatility as they do about direction.
Beginner	Long straddles and strangles want a large move. Butterflies and iron condors usually want containment or range stability.
Intermediate	A “neutral” trade is not a “safe” trade. It usually means the trade has a center and short-vol exposure, not that losses are impossible.
Expert	The expert lens is convexity and carry: are you paying to own a large move, or collecting carry by selling a move that may already be overpriced?

Structure	TLDR	Best use case	Main risk	First management rule
Long straddle	Buy call and put at the same strike.	You expect a large move but do not know direction.	Need a move large enough to outrun premium paid and theta.	Use it when you think the realized move can exceed what IV is pricing.
Long strangle	Buy OTM call and OTM put.	Same large-move thesis, but cheaper entry than a straddle.	Cheaper is not automatically better; you now need a bigger move.	Compare the cheaper debit against the extra move required.
Call backspread	Sell fewer lower-strike calls, buy more higher-strike calls.	Bullish with interest in upside expansion and long convexity.	The payoff can have a “risk valley” before the big upside zone.	Map the whole expiration curve before sizing it.
Put backspread	Sell fewer higher-strike puts, buy more lower-strike puts.	Bearish with interest in downside expansion and long convexity.	The middle zone can still hurt if the move is not large enough.	Use only after you understand how the structure is financed.

Structure	TLDR	Best use case	Main risk	First management rule
Long call butterfly	Defined-risk range trade centered near a target.	You expect price to pin around a level.	Max reward zone is narrow.	Use when you have a specific target, not just “sideways.”
Iron butterfly	Defined-risk short-vol trade around a center.	You expect price to stay close to a body strike.	Short-vol risk if price breaks out hard.	Choose a body strike that is actually relevant, not arbitrary.
Long call condor	Wider range than a butterfly, smaller peak	You expect containment but want a broader	Reward is capped and can feel slow.	Accept that wider range means flatter reward.

	reward.	target zone.		
Iron condor	Defined-risk premium sale over a range.	You expect the underlying to stay between short strikes.	Large moves can quickly threaten one side.	Do not confuse high win rate with low risk; keep position size disciplined.



Volatility-expansion and range-bound trades are mirror images in carry and convexity.

Advanced only: Short straddles, short strangles, short guts, and other undefined-risk premium sales belong in the advanced bucket. A safer learning substitute is usually a butterfly or an iron condor with risk defined on both wings.

7. Synthetic Exposures

TLDR	Different ingredients can create similar expiration payoffs.
Beginner	Synthetic positions show that options are a language of interchangeable exposures, not just isolated contracts.
Intermediate	A synthetic long stock can be built from a long call and a short put with the same strike and expiration. A

	synthetic short stock flips that logic.
Expert	Equivalent payoff does not mean identical real-life risk. Dividends, financing, margin, borrow, early assignment, and settlement can make two “equivalent” trades behave differently in practice.

Synthetic structures matter because they reveal the hidden DNA of strategies. For example, a covered call and a cash-secured put often feel different to beginners, but their expiration profiles are closely related. Learning synthetics helps you see the option market as a set of building blocks rather than a list of memorized names.

Exposure	Typical construction	Why traders study it
Synthetic long stock	Long call + short put (same strike / expiry)	Replicate stock-like upside and downside without buying the shares outright.
Synthetic short stock	Long put + short call	Replicate short-stock-like exposure using options.
Synthetic long call	Long stock + long put	Replicate a protected upside-style call profile.
Synthetic long put	Short stock + long call	Replicate bearish downside-style put exposure.
Long combo / short combo	Call + put at different strikes	Create stock-like bullish or bearish asymmetry with strike separation.
Synthetic straddles	Stock + options combinations	Rebuild long or short straddle profiles using alternatives to the textbook two-option setup.

Expert implication: payoff equivalence is only the first step. Capital efficiency, path dependency, and assignment risk can still make one implementation superior to another.

Part III - Advanced Trading Lenses

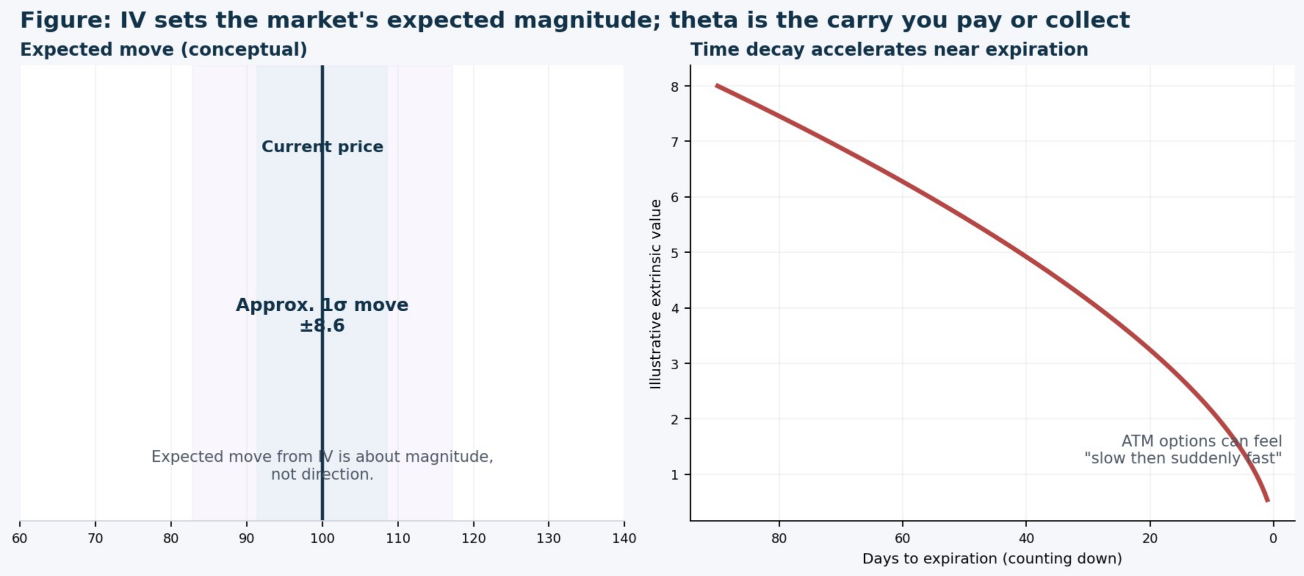
This is where options stop being “strategy names” and start becoming risk instruments.

8. Greeks, Implied Volatility, and Expected Move

TLDR	Greeks are sensitivity measures, not prophecies.
Beginner	Delta tells you how option value changes when the underlying moves. Theta tells you how time works against or for you. Vega tells you how IV changes matter.
Intermediate	Gamma tells you how fast delta changes. That is why near-term ATM options can suddenly become extremely reactive.
Expert	At the expert level, you care about net Greeks across the whole book, plus skew and term structure: where volatility sits across strikes and expirations.

Greek	What it measures	Why it matters in real trading
Delta	Sensitivity to underlying price movement.	Directional exposure. Calls are usually positive delta; puts usually negative.
Gamma	Sensitivity of delta to underlying movement.	Convexity. High gamma means the position can speed up quickly in either good or bad ways.
Theta	Sensitivity to passing time.	Carry. Long options usually pay theta; short options usually collect it.
Vega	Sensitivity to implied volatility.	Volatility pricing. Long options generally benefit if IV rises; short options usually prefer IV to fall or stay contained.
Rho	Sensitivity to interest rates.	Often smaller for short-dated equity options, but it matters more in longer-dated structures.

Implied volatility is best thought of as the market's consensus on possible movement magnitude, not on direction [R7][R13]. When IV is already high, buying premium can still work - but the move usually has to exceed what is already priced. When IV is low, long premium is cheaper, but a quiet market can still bleed it through theta.



IV is about the move the market is pricing; theta is the cost or benefit of holding that exposure through time.

Advanced concept	Plain-English meaning
Skew	The difference in implied volatility across strikes in the same expiration.
Term structure	The difference in implied volatility across expirations on the same underlying.
Event vol	The tendency for IV to rise into scheduled events and often fall after the event passes.

Expert lens: A good options trader is not merely “right on direction.” A good options trader is right relative to what the market had already priced into direction, time, and volatility.

9. Execution, Liquidity, Settlement, and Assignment

TLDR	Execution quality is part of edge. Slippage is strategy destruction in slow motion.
Beginner	Use liquid underlyings, understand bid/ask spreads, and prefer limit orders over careless market orders [R11][R12].
Intermediate	Open interest is useful context, but it is not the same thing as immediate fill quality [R11]. Settlement style and exercise rules matter most near expiration.
Expert	Experts treat operational details as part of risk. A good payoff chart cannot save a bad expiration decision, an illiquid entry, or a surprise assignment.

Execution item	What to do
Underlying selection	Prefer liquid names and liquid chains so spreads and exits are manageable.

Bid/ask spread	Treat it like a visible fee. If the spread is wide, your first job is execution control.
Limit orders	Let you define the worst acceptable price. This matters even more in multi-leg positions [R12].
Open interest	Shows open contracts and participation, but it does not guarantee a tight fill [R11].
Settlement style	Know whether you are dealing with share delivery or cash settlement [R10].
Assignment plan	If you sell premium, decide in advance what you will do if assigned - especially near ex-dividend and expiration.
Corporate actions	Splits, mergers, dividends, and special distributions can adjust contracts [R15].

A common mistake is treating the option chain as a menu of prices instead of a market with friction. The same strategy on two underlyings can have very different real-world quality because one has tight spreads, better size, easier exits, and more predictable assignment risk.

Timing	Operational checklist
Before entry	Check bid/ask, open interest, upcoming earnings, settlement style, dividend calendar, and your max loss.
Before expiration	Decide whether you want shares, cash settlement, or neither. If the answer is “neither,” plan the exit before the final session.
After fill	Record entry reason, IV context, intended hold period, and what would invalidate the trade.

10. Risk Management and Common Failure Modes

TLDR	Risk management is not a paragraph at the end of the trade. It is the structure of the trade.
Beginner	Use defined-risk positions while learning, size small, and know the worst-case scenario before entry.
Intermediate	Portfolio heat matters more than isolated trade heat. Multiple small positions in correlated names can still create one oversized risk event.
Expert	Experts manage distributions, not anecdotes. They care about gap risk, assignment pathways, event clustering, and what happens when liquidity gets worse exactly when the trade goes wrong.

- Risk a small, predefined amount per trade.
- Default to defined-risk structures until your process is repeatable.
- Never size from the maximum possible profit; size from plausible loss and tail risk.
- Know whether you are long or short volatility, not just bullish or bearish.
- Avoid accidental earnings and expiration risk; be deliberate about both.
- If you sell premium, have an assignment plan before entry, not after the email arrives.
- Respect correlations. Five separate tech trades can be one trade in disguise.

- Document the thesis, the IV regime, the chosen DTE, and the exit trigger.
- Review process quality separately from P/L. A winning bad trade is still a bad trade.
- Complexity should follow competence. Do not use ladders, ratios, or 0DTE to compensate for impatience.

Failure mode	What it looks like	Better practice
Cheap OTM options mistaken for “low risk”	The debit is small, but the probability can also be very small.	Use a better strike or a spread that matches the expected move.
Selling undefined risk for small premium	Many small wins create false confidence until one move erases months of gains.	Use defined-risk credit spreads or stock-backed overlays first.
Ignoring IV crush	The stock moves your way, but the option still disappoints.	Compare the expected move and event IV before buying premium.
Holding through expiration by accident	Assignment, pin risk, or unwanted shares appear suddenly.	Create a days-to-close rule and follow it.
Trading illiquid chains	Execution becomes the main risk, not the market thesis.	Prefer tighter spreads and better size even if the “story stock” looks exciting.
Rolling without a better thesis	The trade changes shape, but the original mistake remains.	Roll only if the new position improves edge and risk, not just emotions.
No trade journal	Lessons disappear and repeated mistakes feel new every week.	Track setup, IV, DTE, thesis, execution, and post-trade review.

Process over outcome: Short-vol strategies can produce long streaks of small wins. Long-vol strategies can produce many small losses. Judge them by fit to thesis, risk discipline, and execution quality - not by one trade.

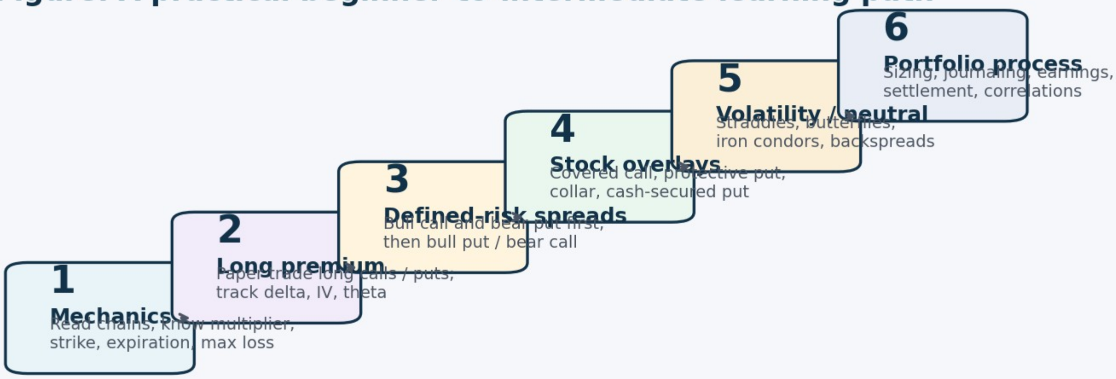
11. A 12-Week Development Plan

TLDR	The goal is not to memorize 51 strategies. The goal is to become difficult to surprise.
Beginner	Move from contract literacy to simple defined-risk trades before you study advanced structures.
Intermediate	Each phase should include paper trading, screenshot reviews, and written post-trade notes, not just more reading.
Expert	Graduation is process-based: you advance when you can explain the trade, the Greeks, the IV context, and the exit plan - not because you are bored.

Phase	Focus	Core drills	Graduation test
Weeks 1-2	Mechanics and chain reading	Multiplier, strike, expiration, moneyness, intrinsic/extrinsic, max loss, bid/ask, open interest.	You can explain any option quote in plain English.
Weeks 3-4	Long calls and long puts on paper	Track delta, theta, and IV changes separately from direction.	You stop judging every trade only by price direction.
Weeks 5-6	Bull call and bear put spreads	Learn why paying less debit changes the upside cap.	You can choose spread width based on a target, not a guess.

Weeks 7-8	Covered call, protective put, collar, cash-secured put	Study stock-overlay logic and assignment scenarios.	You know when share ownership is part of the plan.
Weeks 9-10	Iron condor, butterfly, long straddle / strangle	Map market problems to range trades versus expansion trades.	You can explain short-vol versus long-vol behavior clearly.
Weeks 11-12	Portfolio process and risk review	Build a checklist, correlation limits, and a journal template.	Your process is consistent even when a trade loses.

Figure: A practical beginner-to-intermediate learning path



Rule of thumb: progress only when you can explain not just the payoff shape, but also the IV, theta, and assignment implications.

A skill path is stronger than a strategy collection.

Appendix A - Full Strategy Curriculum Map

A map of the broader options landscape. The goal is study order and classification, not memorization.

Study-stage labels are guidance for a progression framework: Beginner, Intermediate, Advanced. “Complex / asymmetric” means the structure deserves a payoff review before any live trade.

A1. Basic family

Strategy	Subtype	Typical purpose	Study stage
Long call	Basic directional	Bullish upside	Beginner
Short call	Basic premium sale	Bearish / neutral carry	Advanced
Long put	Basic directional	Bearish downside	Beginner
Short put	Basic premium sale	Bullish / neutral carry	Intermediate if cash-secured; Advanced if naked
Covered call	Stock overlay	Income on owned shares	Beginner to Intermediate
Protective put	Stock overlay	Hedge long stock	Beginner

A2. Straddles, strangles, and guts

Strategy	Subtype	Typical purpose	Study stage
Long straddle	Long volatility	Large move either direction	Intermediate
Long strangle	Long volatility	Large move either direction with lower entry cost	Intermediate
Long guts	Long volatility / ITM version	Large move with in-the-money options	Advanced
Short straddle	Short volatility	Narrow range / premium collection	Advanced
Short strangle	Short volatility	Range view with wider body	Advanced
Short guts	Short volatility / ITM version	Range / carry with ITM options	Advanced

A3. Butterflies and condors

Strategy	Subtype	Typical purpose	Study stage
Long call butterfly	Butterfly	Defined-risk target pin / range trade	Intermediate
Long put butterfly	Butterfly	Defined-risk target pin / range trade	Intermediate
Iron butterfly	Iron butterfly	Defined-risk short-vol center trade	Intermediate
Long call condor	Condor	Wider range than a butterfly	Intermediate
Long put condor	Condor	Wider range than a butterfly	Intermediate

Iron condor	Iron condor	Defined-risk premium sale over a range	Intermediate
Short call butterfly	Reverse butterfly	Defined-risk breakout / long-vol expression	Advanced
Short put butterfly	Reverse butterfly	Defined-risk breakout / long-vol expression	Advanced
Reverse iron butterfly	Reverse iron butterfly	Defined-risk breakout / long-vol expression	Advanced
Short call condor	Reverse condor	Defined-risk breakout / long-vol expression	Advanced
Short put condor	Reverse condor	Defined-risk breakout / long-vol expression	Advanced
Reverse iron condor	Reverse iron condor	Defined-risk breakout / long-vol expression	Advanced

A4. Verticals, ladders, ratio structures, and overlays

Strategy	Subtype	Typical purpose	Study stage
Bull call spread	Vertical spread	Bullish defined-risk directional	Beginner to Intermediate
Bear put spread	Vertical spread	Bearish defined-risk directional	Beginner to Intermediate
Bear call spread	Vertical credit spread	Bearish defined-risk carry	Intermediate
Bull put spread	Vertical credit spread	Bullish defined-risk carry	Intermediate
Bull call ladder	Ladder	Bullish with breakout asymmetry	Advanced
Bull put ladder	Ladder	Downside asymmetry / complex structure	Advanced
Bear call ladder	Ladder	Upside-tail asymmetry / complex structure	Advanced
Bear put ladder	Ladder	Complex bearish / range asymmetry	Advanced
Strip	Long volatility with bearish tilt	Big move, faster downside response	Advanced
Strap	Long volatility with bullish tilt	Big move, faster upside response	Advanced
Covered short straddle	Stock overlay premium sale	Premium around owned stock near a strike	Advanced
Covered short strangle	Stock overlay premium sale	Premium around owned stock over a range	Advanced
Ratio call backspread	Backspread	Bullish long convexity	Advanced
Ratio put backspread	Backspread	Bearish long convexity	Advanced
Ratio call spread	Ratio spread	Complex asymmetric call structure	Advanced
Ratio put spread	Ratio spread	Complex asymmetric put structure	Advanced
Collar	Stock hedge	Defined band around a stock holding	Beginner to Intermediate

A5. Synthetic and combo family

Strategy	Subtype	Typical purpose	Study stage
Synthetic call	Synthetic option	Replicate long-call-like payoff	Advanced
Synthetic put	Synthetic option	Replicate long-put-like payoff	Advanced
Synthetic long stock	Synthetic stock	Replicate long stock	Intermediate to Advanced
Synthetic short stock	Synthetic stock	Replicate short stock	Intermediate to Advanced
Synthetic long straddle with calls	Synthetic volatility	Replicate long straddle using stock + calls	Advanced
Synthetic long straddle with puts	Synthetic volatility	Replicate long straddle using stock + puts	Advanced
Synthetic short straddle with calls	Synthetic volatility	Replicate short straddle using stock + calls	Advanced
Synthetic short straddle with puts	Synthetic volatility	Replicate short straddle using stock + puts	Advanced
Long combo	Combo	Synthetic bullish stock-like structure	Advanced
Short combo	Combo	Synthetic bearish stock-like structure	Advanced

Appendix B - Key Formulas and Checklists

Use these as working memory aids. Real-world fills, fees, dividends, and exits can change exact outcomes.

Concept	Approximate formula
Call intrinsic value	max(S - K, 0)
Put intrinsic value	max(K - S, 0)
Extrinsic value	Option premium - intrinsic value
Long call breakeven	Strike + premium paid
Long put breakeven	Strike - premium paid
Debit spread max loss	Net debit paid
Debit spread max profit	Spread width - net debit
Credit spread max profit	Net credit received
Credit spread max loss	Spread width - net credit
Approximate expected move	Underlying price x IV x sqrt(days / 365)

Pre-trade checklist

- What exactly is my market view: up, down, range, or large move?
- How much move do I need, and by when?
- Is implied volatility low, fair, or elevated relative to that thesis?
- Am I long or short convexity and long or short carry?
- What is the maximum loss, and is it acceptable for my size?
- What happens if I am assigned, exercised, or taken into settlement?
- Is the chain liquid enough to enter and exit cleanly?
- Is there an earnings event, dividend, or corporate action I am ignoring?
- What would invalidate the trade before expiration?
- How will I review the trade afterward regardless of P/L?

Post-trade review prompts

- Was the original thesis directionally correct?
- Did the realized move beat or miss what IV had priced?
- How much of the P/L came from direction, time decay, or IV change?
- Was my size appropriate for the worst path, not just the final path?
- Did execution help or hurt the result?
- Would a different expiration or strike have matched the thesis better?
- Did I follow the pre-defined exit rule?
- What specific lesson would improve the next trade?

Selected Primary References

Official or industry-standard educational references used to ground the framework.

Tag	Organization	Reference
[R1]	The Options Clearing Corporation (OCC)	Characteristics and Risks of Standardized Options (Options Disclosure Document / ODD)
[R2]	U.S. Securities and Exchange Commission (SEC)	Investor Bulletin: An Introduction to Options
[R3]	SEC	Investor Bulletin: Opening an Options Account
[R4]	FINRA	Options
[R5]	FINRA	Regulatory Notice 21-15 (options approval and appropriateness reminders)
[R6]	The Options Industry Council (OIC)	Understanding Options Greeks
[R7]	OIC	Volatility & the Greeks
[R8]	OIC	Option Exercise and Assignment; Options Assignment FAQ
[R9]	OIC	Options Strategies Quick Guide (2025)
[R10]	Cboe	Why Option Settlement Style Matters
[R11]	OIC	Open Interest: Why It Matters; General Information FAQ on liquidity
[R12]	Investor.gov	Types of Orders / Limit Orders
[R13]	OIC	Volatility Skew and Options: An Overview; related IV education
[R14]	OIC	0DTE Options Primer: What Investors Should Know About Expiration Day Positions
[R15]	OIC	Options FAQ: How Might Corporate Actions Impact Options?

This playbook intentionally blends mechanics, process, and strategy selection. It is not a recommendation engine. Use the references above to verify definitions, operational rules, and risk disclosures.